

► **THE DARLINGS OF** Dalal Street—small- and mid-cap funds—are now undergoing a reality check. After two years of stellar gains, volatility has crept in, and the correction has eroded the short-term euphoria. However, history often suggests that those who ride the dips often create the most wealth over time.

EARLY ADVANTAGE

Experts say small- and mid-caps typically have lower institutional ownership, allowing fund managers to enter early before valuations catch up. “This helps ride the full growth curve as these companies mature into large caps, says Abhishek Tiwari, CEO, PGIM India Asset Management.

Take this into consideration. In June 2021, the 250th largest company had a market cap of ₹11,819 crore. As of June 2025, the figure stands at ₹30,756 crore, per AMFI categorisation. Similarly, in the mid-cap space, beyond the top 100 companies, the 101st company had a market share of ₹36,954 crore (June 2021). The 101st company is now at ₹90,907 crore market cap (June 2025).

With an active primary market, we are seeing a lot more companies entering this space. They operate in niche sectors or sunrise industries like fintech, recycling, waste management, renewables, defence, and digital services. They have agile business models that allow them to scale up rapidly.

Small caps offer higher upside potential by virtue of being less saturated than large caps. Mid- and small-cap segments have consistently demonstrated their potential for long-term wealth creation. “While these segments inherently carry higher volatility compared to large caps, they also offer differentiated growth opportunities that can significantly enhance portfolio outcomes over a 7- to 10-year horizon,” says Tiwari.

VOLATILITY TEST

Mid- and small-cap funds delivered stellar returns through 2023 and early 2024, driven by strong earnings growth, a resilient domestic economy, and retail participation. After two years of phenomenal performance, returns over the last year or so have moved into the negative territory.

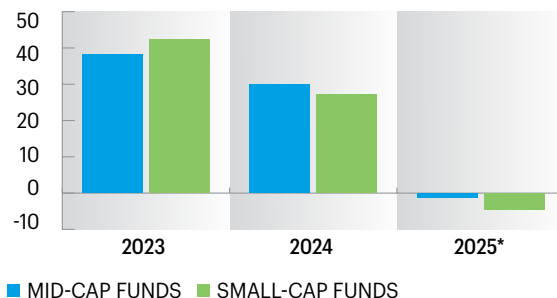
As we know, markets are never unidirectional—they move through cycles and periods of volatility. History shows that even after major crises like the global financial meltdown or the Covid-19 pandemic, markets rebounded strongly. However, the greatest risk investors often face isn’t market risk, but emotional risk.

“Mid- and small-cap funds, by nature, are best suited for long-term investors. While they offer high growth potential, they also come with higher volatility. Staying invested through cycles helps capture long-term gains,” says Shreyash Devalkar, Head—Equity, Axis Mutual Fund.

In the risk-reward matrix across the cap curve, large caps are typically at the lower end of the risk-return trade-off,

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NOTE* TILL SEPTEMBER 20, 2025

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NOTE* TILL SEPTEMBER 20, 2025

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and it rises as we move towards mid and small caps, which tend to be riskier asset classes and more volatile. If you look at small- and mid-cap funds, they will fall under the ‘very high’ risk category.

“As a result, longer-tenured money and risk awareness for certain speed bumps along the way are desirable,” says Jitendra Sriram, Senior Fund Manager—Equity at Baroda BNP Paribas Mutual Fund.

Ultimately, short-term corrections should be viewed as part of the market cycle, not as a trigger for panic exits, and can be an opportunity to allocate more basis to one’s asset allocation. “For long-term investors, discipline, diversification, and alignment with financial goals remain far more effective than trying to time the market,” says Sirshendu Basu, Head, Products, Bandhan AMC.